

INTERNATIONAL RELATIONS



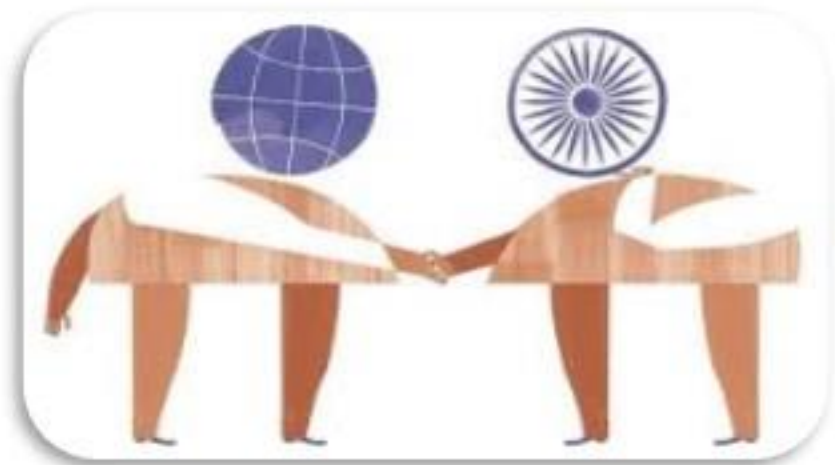
INDIA - WEST ASIA - 1

MODULE - 41

- 1 India-West Asia relations is a reflection of a 'shared past, of shared challenges in the present and of a shared future'.
- 2 India's interest in West Asia is economic, political, geo-strategic and security related.
- 3 Though initially, India did not actively participate in the region; by the middle of the Cold War period, it developed relations with Saudi Arabia and Iran.
- 4 In the Post-Cold War period, India began developing its relations with Israel and balancing its interests with Palestine.



- 5 In 2014, PM Modi referred to the diplomatic initiatives with West Asia as 'strong, proactive and sensitive'.
- 6 India's key mantra regarding the region is- 'balance, cooperate, connect and build strong economic and security partnership.'
- 7 India's policy moved from 'Look West' to 'Think West' and now to 'Link West'.
- 8 India needs to balance its relations with its neighbors as in the era of globalisation and economic integration



There are several dimensions of the relationship

POLITICAL

- 1 Historically, the relationship between the Indian subcontinent and the Gulf goes back to ancient days.
- 2 During the colonial period, the Gulf region's strategic importance was viewed in the context of India's defence.
- 3 India adopted 'Look West Asia' policy in 2005. India has appointed a Special Envoy for the Gulf and West Asia.



STRATEGIC

The Gulf Region is India's extended neighborhood. India has huge stakes in the region such as energy, trade and safety of Indian community.

ENERGY NEEDS

- 1 India is a growing economy and needs energy. West Asian nations among the primary suppliers of oil and gas that keep the Indian economy running.
- 2 70 % of India's imported energy needs come from West Asia & will increase as Indian economy grow.
- 3 With the structural change in global energy market, most of oil and gas from West Asia is being exported to South and South-east Asia; India's importance for West Asia, thus increases.



SECURITY

1 To counter radicalisation within its country, India needs to develop close cooperation with West Asia.

2 West Asia finds in India a reliable partner for bringing regional peace and stability.

3 India realizes the need for regional and international efforts to combat terrorism and develop a strategy to eliminate sources of terrorism.

4 For the Indian Diaspora in West Asia, around 11 million India, the stability of this region is essential for India.



ECONOMIC

- 1 West Asia is a major economic partner of India
- 2 India is the largest recipient of foreign remittances from West Asia.
- 3 It is also huge markets for Indian goods, services and skilled manpower.
- 4 India is negotiating for an FTA with the Gulf Cooperation Council (GCC) countries.



INDIA'S "LOOK WEST" POLICY

BACKGROUND

- 1 India adopted Look West policy in 2005. However, the policy did not get much attention since 2005.
- 2 The success of Look East policy prompted India to "Look West".
- 3 Recent visit of PM Modi to number of West Asian countries has the potential to transform our engagement with West Asia.



INDIA'S "LOOK WEST" POLICY

BACKGROUND

This stance changed because of changes in the global scenario

- i Growth of Asian economies
- ii Security considerations and efforts by Asian countries to maintain peace and stability
- iii With the reduced role of the West, India and China are perceived as reliable mediators among the Gulf states
- iv To reduce the influence of China in West Asia and in Arabian Sea.



INDIA'S "LOOK WEST" POLICY

PRINCIPLES

- 1 "Look West" is a foreign policy to accommodate three important pillars of West Asia- Iran, Israel and Saudi Arabia
- 2 The policy reflects India's outreach towards the Gulf and suggests a new push towards more concrete strategic policies for West Asia.
- 3 The focus is on a secular and non-aligned policy of assimilating both Muslims and Jews.
- 4 It is driven by economic interests, energy security and maritime diplomacy rather than political strategizing.
- 5 The contemporary interplay among the nations expand the scope of India's engagements with new avenues of cooperation beyond traditional focus on energy and labor



INDIA'S "LOOK WEST" POLICY

PRINCIPLES

- 6 With the West looking East, India's "Look West " policy is expected to yield positive results.
- 7 India needs to expedite its free trade negotiations with the six-nation Gulf Coordination Council (GCC), address issues regarding economic cooperation with Pakistan and enhance its presence in Africa for a successful 'Look West' policy.
- 8 India will gain overland access to Iran, Afghanistan and Central Asia. Currently, India has to circumnavigate Pakistan and get access to Afghanistan through Iran.
- 9 Pakistan could become a link rather than a hindrance between the Indian subcontinent and the energy-rich region. India-Pakistan reconciliation would be meaningful



INDIA'S "LOOK WEST" POLICY

PRINCIPLES

India's foreign policy towards West Asia can be understood through its bilateral relations with some important countries of the region.

- i India - Saudi Arabia
- ii India - UAE
- iii India - Israel
- iv India - Iran



POLITICAL

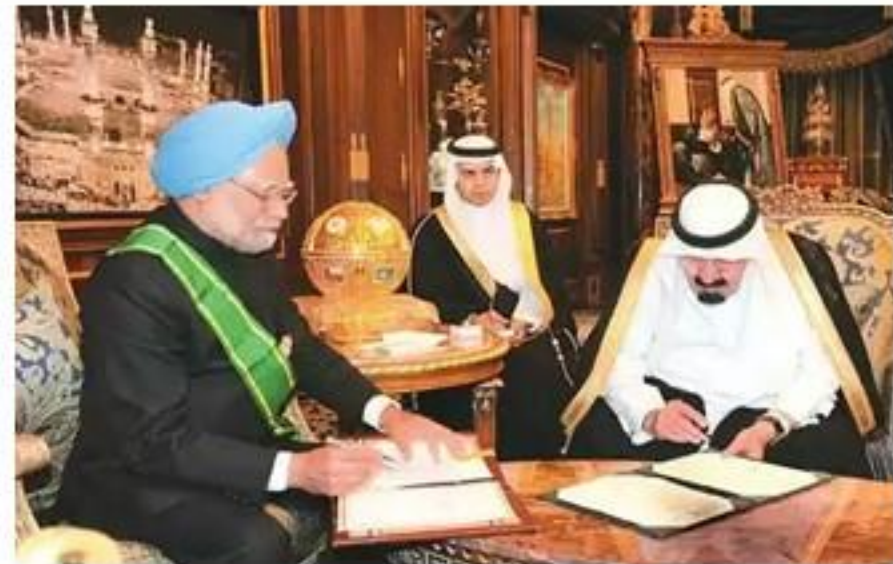
- 1 Diplomatic relations between India and Saudi Arabia was established in 1947.
- 2 The visit of Prime Minister Indira Gandhi to Saudi Arabia in 1982 built the bilateral relations.
- 3 In 2006, the 'Delhi Declaration' was signed during the visit of King Abdullah to India.
- 4 In 2010 the 'Riyadh Declaration' was signed during the visit of PM Singh to Saudi Arabia and raised the level of bilateral engagement to a 'Strategic Partnership'.



POLITICAL

2016 VISIT

- 1 In 2016 PM Modi visited Saudi Arabia and presented gold plated replica of Cheraman Juma Masjid to King Salman of Saudi Arabia.
- 2 During the visit he was conferred the Arabian country's highest civilian honor — the King Abdulaziz Sash.
- 3 They upgraded 3 agreements during the visit
 1. Energy security partnership of 2008
 2. Strategic partnership of 2010
 3. Defence partnership of 2004.
- 4 The leaders discussed expanding the trade and investment relationship to expand beyond oil imports



POLITICAL

2019 VISIT

- 1 In October 2019, PM Modi attended the Future Investment Initiative (FII), an annual investment forum in Riyadh under the theme 'What Is Next for Global Business'.
- 2 The objective was to engage with Saudi decision-makers and global business representatives. The focus was on bringing Stability in energy supplies and pricing.
- 3 The major pacts signed included an agreement to launch an India-Saudi Arabia Strategic Partnership Council.



POLITICAL

2019 VISIT

4 Twelve MOUs and Agreements were signed during the visit in the fields of energy, security, combating trafficking of narcotic drugs, defense production, civil aviation, medical products, strategic petroleum reserves, small and medium scale industries, launch of Rupay card, cooperating in training of diplomats, cooperation between stock exchanges etc.

5 Saudi Arabia had released nearly 450 Indian prisoners as agreed to during the visit of the Crown Prince to India.

6 During his visit, both sides agreed to launch the India-Saudi Arabia Strategic Partnership Council to coordinate decisions regarding strategically important issues.



POLITICAL

2019 VISIT

- 7 Discussions on enhancing defence and security cooperation and conducting the first naval exercise took place.
- 8 India has invited Saudi Arabia to participate in India's strategic petroleum reserves.
- 9 To enhance people to people ties, the number of flights between the two countries would be increased and the Saudi King agreed to raise the Haj quota for India from 1,75,025 to 2 lakhs



POLITICAL

2019 VISIT

- 10** The meeting is in the backdrop of India sharing its decision on withdrawing the special status to Jammu and Kashmir. Saudi Arabia is seen as a strong influence in the Muslim world including Pakistan
- 11** The visits of 2016 and 2019 culminated in the establishment of the Strategic Partnership Council chaired by the Prime Minister and the Crown Prince. The SPC has two pillars:
 - i** Political-Security-Socio-Cultural
 - ii** Economy and Investment.



ECONOMIC & COMMERCIAL RELATIONS

ENERGY

- 1 Saudi Arabia is a major source of energy as India imports around 18% of its crude oil requirement and 30 % of its LPG requirement from the Kingdom.
- 2 India is a vital market especially after Iranian nuclear deal.
- 3 US no longer dependent on energy from the region with the shale gas revolution.
- 4 Saudi Aramco and UAE's ADNOC are jointly participating in the development of US \$44 billion 'West Coast Refinery & Petrochemicals Project Limited' in Maharashtra



ECONOMIC & COMMERCIAL RELATIONS

BILATERAL TRADE

- 1 Saudi Arabia is India's fourth largest trading partner and bilateral trade is worth 28 billion dollars.
- 2 In FY 2019-20, bilateral trade was valued at US \$33.07 billion.
- 3 Total trade with Saudi Arabia accounted for 4.23% of India's total trade in FY 2019-20.



ECONOMIC & COMMERCIAL RELATIONS

INVESTMENTS

- 1 There are 476 Indian companies registered worth US\$ 1.5 billion in Saudi as of March, 2020 in sectors such as management and consultancy services, construction projects, telecommunications, information technology, financial services and software development, pharmaceuticals, etc.
- 2 The Saudi Sovereign Wealth Fund backed Soft Bank's 'Vision Fund' has invested several billion dollars in the Indian Start-ups such as Paytm, Grofers and Firstcry .
- 3 Saudi Company Al- Fanar is executing a 300 MW power project in Gujarat.
- 4 Saudi Arabia wants India to be a part of its King Abdullah Economic City.



SECURITY

TERRITORIAL SECURITY

- 1 Both India and Saudi Arabia are involved in counter terrorism and intelligence sharing.
- 2 Riyadh also extradited several terror suspects to India.
- 3 Saudi Arabia can force Pakistan to abandon its anti-India foreign policy.
- 4 It extradited terrorists to India.



SECURITY

MARITIME SECURITY

- 1 The maritime link in the Indian Ocean is important for ensuring stability and disaster management for the middle Eastern region.
- 2 This increases the significance of an effective Maritime security infrastructure in the Indian Ocean.
- 3 In order to address the threat of piracy, a concentrated policy is essential.



CULTURAL RELATIONS

- 1 India successfully participated as 'Guest of Honor' in the 32nd edition of the prestigious Saudi National Festival of Heritage and Culture, Janadriyah in February 2018.
- 2 Yoga was announced as a 'sports activity' in November 2017. It witnessed participation of a large number of Saudi nationals, particularly the youth.
- 3 The 150th birth anniversary of Mahatma Gandhi was marked by a series of events that culminated on October 2, 2019 with the unveiling of the Gandhi bust at the Embassy.
- 4 A large event was organized by the Embassy to commemorate the 550th birth anniversary of Shri. Guru Nanak Dev Ji on November 14, 2019.
- 5 Constitution Day was celebrated on November 26, 2019.



INDIAN COMMUNITY IN SAUDI ARABIA

- 1** It is home to thousands of non-resident Indians who are an important source to India in financial remittances.
- 2** Of the 11 million Indians working in West Asia, nearly three million are in Saudi Arabia. Therefore, stability in the region, and particularly in Saudi Arabia, is high on India's core agenda.
- 3** In April 2013, King Abdullah announced a grace period allowing overstaying expatriates to get new jobs or leave the country without facing penal action.
- 4** The integration of Indian e-Migrate system and Saudi e-Thawtheeq system for the convenience of migration of workers was announced during the PM Modi's visit in October 2019.



INDIAN COMMUNITY IN SAUDI ARABIA

- 5 Hajj pilgrimage is another important component of bilateral relations. The Hajj Quota was increased by 24,975 in 2019, enabling 2, 00,000 Indians to perform Hajj in August 2019.
- 6 India and Saudi Arabia signed the Annual Bilateral Hajj 2020 Agreement in December 2019 making India the first country in the world to make the entire Hajj process digital.
- 7 It would enable complete digitization of the Hajj process by providing Hajj mobile app, health facility -"e-MASIHA" , "e-luggage pre-tagging" and HGOs (Hajj Group Organisers) linked with the digital system.



COLLABORATION AGAINST COVID-19

- 1 In order to deal with the unprecedented COVID-19 crises they held a G20 Virtual Summit.
- 2 Owing to strong people to people ties and continuous support extended by the Saudi government for the Indian community during the pandemic, India appreciated efforts of Saudi government to take care of the Indian community in Saudi Arabia.
- 3 In June 2020 India and Saudi discussed bilateral trade and economic cooperation in health and food security, maintaining supply chains & trade commitments during the COVID period.
- 4 Saudi authorities opened up the healthcare system for the Indian community and provided free healthcare during the pandemic.



COLLABORATION AGAINST COVID-19

- 5 Under this cooperation, a total of 1777 Indian healthcare professionals have returned to Saudi Arabia to resume their duties to fight the Covid-19 pandemic.
- 6 78 Vande Bharat Mission flights in 4 phases have taken 15855 Indian citizens back to India. About 200 charter flights have repatriated 35201 Indian citizens. There has been excellent cooperation with the Saudi authorities in this endeavour.



CHALLENGES TO COOPERATION

- 1 Security situation in West Asia deteriorating since Arab Spring in 2010 has affected relations.
- 2 Proxy wars on sectarian lines are fought by regional powers. Involvement of extra-regional players like Russia in internal conflicts GCC-Iran rivalry, Shia-Sunni conflict, Arab-Israel conflict and rise of religious radicalism increase instability.
- 3 With the rise of ISIS, terrorism creates security situation in West Asia.



CHALLENGES TO COOPERATION

- 4 While Saudi Arabia denounces all forms of terrorism, Saudi money is funding Wahhabi Islamic groups around the world.
- 5 The introduction of Nitaqat laws in many Gulf countries has resulted in workers returning to India. It has a huge economic and social impact.
- 6 India is not prepared to assimilate all these people into its own economy, with its already high unemployment rates.



CHALLENGES TO COOPERATION

THE IRAN ANGLE

- 1 India's close relationship with Iran has complexed India's equations in West Asia. Iran and Saudi Arabia are major rivals in West Asia.
- 2 Saudi Arabia perceives Pakistan as an important player to check Iranian influence in the region.
- 3 Relations between Pakistan and US is under pressure and Pakistan feels Saudi Arabia could be of help.
- 4 Moreover, Pakistan is an ideological enemy of Iran as Iran is Shia dominated and Pakistan is Sunni dominated



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